CHAPTER 4

Leadership for a service culture

Unit B · Learning outcome LO2 · Model: Situational Leadership

Customers feel a team's culture in every contact. The manager shapes that culture more than anyone else. This chapter shows how to lead each person in the way they need.

By the end of this chapter you can:

- explain what a service culture is and how a leader builds it
- choose a leadership style that matches a team member's readiness
- evaluate how a leadership style affects service quality

Key terms

Term	Meaning
Service culture	The shared habits and beliefs that make good service normal in a team
Leadership style	The way a manager guides and supports people
Readiness	How skilled and how confident a person is for one task
Directing	Telling clearly what to do and checking closely
Coaching	Explaining, encouraging and still guiding
Supporting	Listening and building confidence; the person decides more
Delegating	Handing over the task and trusting the person
Empowerment	Giving staff the authority to solve customer problems themselves

Core idea: culture is what happens when the manager is not watching

A service culture is not a poster on the wall. It is what staff do when nobody checks: do they help a lost customer, or say "not my department"? Leaders build culture by:

- **modelling:** doing what they ask others to do
- **recognising:** noticing and praising good service quickly
- **empowering:** letting staff fix problems, for example a refund up to a set amount, without asking a manager
- **removing barriers:** fixing broken tools and slow processes that frustrate staff

This links back to Chapter 1. A strong culture is link 1 and link 2 of the Service-Profit Chain.

The Level 5 model: Situational Leadership

Hersey and Blanchard's idea is simple: **there is no single best style.** The right style depends on how ready the person is for this task.

Person's readiness	Style	What the leader does	Example
New, low skill, keen	**Directing**	Gives clear steps and checks often	A new agent learning the complaints system
Some skill, losing confidence	**Coaching**	Explains why, encourages, still decides	An agent upset after a difficult customer
Skilled, unsure	**Supporting**	Listens, asks questions, lets them decide	A senior agent who doubts their own judgement
Skilled and confident	**Delegating**	Hands over and trusts	A team leader who runs the evening shift

Readiness is about **one task**, not the whole person. An expert on the phone may still need directing on a new CRM system.

Use it in three steps

1. Judge the team member's skill and confidence for this task.
2. Choose the matching style.
3. Change the style as the person grows.

SENTENCE FRAME

For ___, I would use a ___ style, because they are ___.

Deeper theory

Leadership and management: what is the difference?

The two words are often used together, but they are not the same (Kotter, 1990):

Management	Leadership
Plans and budgets	Sets a direction and a vision
Organises staff and processes	Brings people together behind the vision
Controls and solves problems	Motivates and inspires
Creates order and consistency	Creates change

A customer care manager needs **both**: management to keep service reliable every day, and leadership to improve it and keep the team motivated.

Other leadership styles

Situational Leadership is one useful model. Here are other styles you should know:

Style	Description	Good for	Risk
Autocratic	The leader decides alone	Emergencies, safety	Staff feel ignored; low motivation
Democratic (participative)	The leader asks the team before deciding	Improving processes; building commitment	Slower decisions
Laissez-faire	The leader gives almost no direction	Very skilled, motivated experts	Confusion, poor standards
Transformational	The leader inspires with a vision and develops each person (Bass, 1985)	Building a strong service culture	Depends on the leader's energy

Style	Description	Good for	Risk
Transactional	The leader uses rewards and penalties for results	Clear, routine targets	People do the minimum to get the reward
Servant leadership	The leader's first job is to serve the team (Greenleaf, 1977)	Service businesses; empowered teams	Can look weak if not balanced with standards

Many service companies prefer **transformational** and **servant** leadership, because staff who feel supported pass that care on to customers.

Motivation theories

Leaders must understand what motivates staff.

Maslow's hierarchy of needs (1943). People meet basic needs first, then higher needs:

5 · Self-actualisation. Reaching your full potential: growth, creativity.

4 · Esteem. Respect, recognition, status.

3 · Belonging. Friendship, team spirit.

2 · Safety. A secure job, a safe workplace, fair rules.

1 · Physiological. Pay that covers food and housing; breaks and rest.

Figure 4.1 Maslow's hierarchy of needs, applied to work.

Herzberg's two-factor theory (1959). Herzberg found two different groups of factors:

Hygiene factors	Motivators
Pay, working conditions, company rules, job security, relationships with the manager	Achievement, recognition, responsibility, interesting work, growth
If they are poor, staff are dissatisfied	If they are present, staff are **motivated**

Hygiene factors	Motivators
Fixing them stops complaints but does not create motivation	They create real energy and commitment

Manager's lesson: good pay and conditions stop staff from leaving, but recognition, responsibility and growth make them want to give excellent service.

Empowerment: benefits and limits

Empowerment means giving frontline staff the authority to solve problems. Research suggests it brings faster recovery and more satisfied staff (Bowen and Lawler, 1992). But it has limits:

Benefits	Limits and risks
Faster service recovery	Mistakes or unfair decisions
Staff feel trusted and motivated	Inconsistent treatment between customers
Managers have more time for planning	Costs can rise without clear limits

Good empowerment has **clear limits** (for example, refunds up to a set amount), **training**, and **trust**.

Building and changing a service culture

Edgar Schein (1985) described culture at three levels:

1. **Artefacts:** what you can see, such as uniforms, offices and posters.
2. **Espoused values:** what the company says it believes, such as "We put customers first."
3. **Basic assumptions:** what people really believe and do without thinking.

Real change happens at level 3. Posters (level 1) are easy; changing what people do when nobody is watching takes leadership, recognition and time.

Further reading

- Bass, B. M. (1985). *Leadership and Performance Beyond Expectations*. New York: Free Press.
- Herzberg, F., Mausner, B. and Snyderman, B. (1959). *The Motivation to Work*. New York: Wiley.
- Schein, E. H. *Organizational Culture and Leadership*. San Francisco: Jossey-Bass (latest edition).

Tech layer: hybrid teams and AI copilots

Many service teams now work partly from home. Leaders cannot see their staff, so they must:

- hold short daily check-ins on video
- use shared dashboards so everyone sees the same goals
- make extra effort to recognise good work in writing

AI copilots are tools that help agents during a conversation. They suggest answers, summarise a long email thread, or translate a message. They make new staff faster. But leaders must still coach judgement and empathy. A copilot can suggest words; it cannot care.

Case study: a new team leader at Ooredoo

Imagined scenario: the situation and numbers are invented for practice. They do not describe the real company.

Imagine Fatima is promoted to lead a team of six in an **Ooredoo** contact centre. She manages everyone the same way: she checks every reply before it is sent. The two newest agents are grateful. The three most experienced agents feel insulted, and one asks to transfer. Customer replies slow down because everything waits for Fatima.

Analyse it with Situational Leadership. Fatima uses a **directing** style for everyone. It suits the new agents. For the experienced agents she should **delegate** or **support**. This would free her time, speed up replies and keep good staff.

BRAND SPOTLIGHT

The Ritz-Carlton: trusting staff with real money

What happened. The Ritz-Carlton is a luxury hotel group. It is well known for one rule: staff may spend up to **US$2,000** to solve a guest's problem or make their stay special, **without asking a manager**. Housekeepers, waiters and receptionists all have this power.

A famous story tells of a child who left a favourite toy at the hotel. Staff found it, posted it home quickly, and added a small surprise from the hotel.

Why it matters. Most problems are small, so staff rarely spend much. But the rule sends a strong message: "We trust you. Fix it now." Guests get help in minutes, not days.

The lesson for managers. This is **empowerment** and **delegating**. It only works when staff are well trained and know the hotel's values. Trust grows with readiness.

Word help: *luxury* = very expensive and high quality.

BRAND SPOTLIGHT

Nordstrom: a one-rule handbook

What happened. Nordstrom is an American department store known for excellent service. For many years, new staff received a very short handbook. It was a single card with one main rule: **"Use good judgment in all situations."**

Why it matters. Instead of long lists of rules, Nordstrom hires carefully and trusts staff to decide what is right for each customer. Managers judge staff by how well they serve customers, not by how well they follow orders.

The lesson for managers. Fewer rules can mean better service, **but only for ready staff**. A new employee still needs clear steps (directing). An experienced one can be trusted with "good judgment" (delegating).

Word help: *judgment* = your ability to make good decisions.

BRAND SPOTLIGHT

Zappos: paying new staff to leave

What happened. Zappos is an American online shoe and clothing shop famous for friendly customer service. New staff go through several weeks of training. During training, Zappos makes a surprising offer: "**If you leave now, we will pay you.**" The offer has been reported as US$2,000. Very few people take it.

Why it matters. Zappos wants only people who truly fit its service culture. A person who takes the money is probably not right for the job. Paying them now is cheaper than keeping an unhappy worker for years.

The lesson for managers. Culture starts with **who you hire**. Choose people who care about customers. Then train them and trust them.

BRAND SPOTLIGHT

McDonald's: Hamburger University

What happened. In **1961**, McDonald's started a training school for its managers in the basement of a restaurant near Chicago. It called it **Hamburger University**. The first class had only a handful of students. Today the school trains thousands of restaurant managers and owners every year, in its main campus in Chicago and other centres around the world.

Why it matters. McDonald's serves customers in many countries, and it wants the same quality, speed and cleanliness everywhere. Training managers is how it builds that service culture.

The lesson for managers. Culture does not happen by chance. New managers and staff need **directing** and **coaching** before they can be trusted with **delegating**. Investing in training is investing in links 1 and 2 of the Service-Profit Chain.

QATAR SPOTLIGHT

FIFA World Cup Qatar 2022: 20,000 volunteers

What happened. About **20,000 volunteers** helped fans during the World Cup in Qatar. According to FIFA, they were chosen from more than 400,000 applicants and came from about 160 nationalities. Their training included more than 1,300 hours of learning, face to face and online. They worked in many roles, for example at stadiums, the airport, fan zones and transport hubs.

Why it matters. Most volunteers had never worked at a World Cup before. Organisers chose people with the right attitude, trained them, and gave clear roles and support.

The lesson for managers. This is **service culture** at scale: hire for attitude, train the skills, then trust people in their roles. New volunteers needed **directing** at first; experienced team leaders could be given more **delegating**.

Is this model perfect?

Strengths of Situational Leadership	Limits of Situational Leadership
Practical: gives four clear styles	Judging someone's readiness is not always easy
Treats each person as an individual	Changing style often can confuse staff if not explained
Helps leaders grow their team step by step	Says little about team culture or the whole organisation
Works for new and experienced staff	Different cultures may expect different leadership styles

How to use this in an answer: "A ___ style suits ___ now. However, readiness changes, so the leader should review it after ___."

Useful language

Directing

- "Here are the three steps. Watch me first, then you try."
- "Check with me before you send the reply today."

Coaching

- "That call was hard. What went well? What would you do differently?"
- "Here's why we do it this way."

Supporting

- "You know this well. What do you think we should do?"
- "I trust your judgment. I'm here if you need me."

Delegating

- "This project is yours. Tell me what you decide."
- "You can approve refunds up to $50 without asking me."

Practice case: an Amazon customer service team

Imagined scenario: the situation and numbers are invented for practice. They do not describe the real company.

Imagine Daniel manages a team of eight agents in an **Amazon** customer service centre. The company has just added an AI copilot that suggests replies to customers.

Agent	Experience	Skill with the new AI tool	Confidence
Mei	6 years	Low	High in her job, nervous about AI
Ahmed	2 months	Medium	Low
Lucia	4 years	High	High

Agent	Experience	Skill with the new AI tool	Confidence
Tom	3 years	Medium	Low after many angry customers

Daniel treats everyone the same: he sends a long email of rules and checks nothing for two weeks. Customer satisfaction falls from 82% to 74%. Mei says, "Nobody showed me how to use the AI." Ahmed has stopped asking questions.

Guided questions

1. **Analyse:** For each agent, decide their readiness **for using the AI tool**.
2. **Recommend:** Choose a leadership style for each agent. Explain each choice in one sentence.
3. **Evaluate:** Why did Daniel's "one style for all" approach fail?
4. **Evaluate:** Who could help train the others? Which style would Daniel use with this person?
5. **Recommend:** Write a two-week plan for Daniel. Include one way to build the team's service culture.

Hint: readiness is about one task. Mei is an expert agent but a beginner with AI.

Think local

Think about a café, shop or restaurant you visit often, for example a **Starbucks**, **Lulu** or **Al Meera** branch near you.

1. Have you seen a staff member solve a problem **without asking a manager**? What happened?
2. What do you think the service culture is like there? What behaviour shows it?
3. If you managed a new staff member there, which leadership style would you use in their first week?

Teachers: replace these brands with any brands your students know well.

Common mistakes managers make

- **Using one style for everyone.** New staff feel lost without directing. Experts feel insulted by it.
- **Giving power without training.** Empowerment without skills leads to mistakes.
- **Never changing style.** People grow. Your style should grow with them.
- **Saying "customers first" but treating staff badly.** Staff will treat customers the way the manager treats staff.

Apply it: choose the right style

Read each situation. Decide the person's readiness. Choose a style: directing, coaching, supporting or delegating. Explain why in one sentence.

1. Ali started yesterday. He is keen but has never used the booking system.
2. Sara has worked here for five years. She trains new staff and runs the evening shift.
3. Omar knows the job well, but after an angry customer shouted at him, he is afraid to take calls.
4. Leila is learning the new returns process. She has made three mistakes this week and feels upset.

Chapter summary

- A **service culture** is what staff do when the manager is not watching.
- Leaders build culture by **modelling, recognising, empowering** and **removing barriers**.
- **Situational Leadership**: match your style to the person's readiness for the task.
- Four styles: **directing, coaching, supporting, delegating**.
- **Empowerment** gives staff power to solve problems quickly. It needs training and trust.
- AI copilots help staff work faster, but leaders still coach judgment and care.

Review quiz

1. A new, keen employee with low skill needs a... style.
   a. delegating
   b. supporting
   c. directing
   d. no
2. Readiness is about...
   a. the whole person
   b. one task
   c. age
   d. job title
3. Ritz-Carlton staff can spend money to help a guest without asking a manager. This is an example of...
   a. empowerment
   b. benchmarking
   c. a silo
   d. a KPI
4. Nordstrom's handbook rule was...
   a. "Always ask your manager"
   b. "The customer is always right"
   c. "Use good judgment in all situations"
   d. "Follow every rule"
5. Why does Zappos offer money to new staff who leave during training?
   a. to save on salaries
   b. to keep only people who fit its service culture
   c. because training is too long
   d. to punish weak staff

Check your understanding

1. Describe the service culture in a business you know. Give one example of behaviour that shows it.
2. Name the four Situational Leadership styles and when to use each.
3. Why is readiness about a task, not a person?
4. Give two ways a leader can build culture in a team that works from home.
5. *Level 5 question:* An AI copilot makes new agents 30% faster. Evaluate whether the manager can now spend less time coaching.

Capstone step 4

Think about the manager or supervisor in your chosen organisation. **Evaluate their leadership style** and its **effect on service**. What would you recommend they change, and why?